

**BAKER
HUGHES**

Rpt Date 31/Aug/2006			Well Name/No Bilabri D 2			Section Name/No 12 1/4" pilot hole - 2 #5			Mud System SYN-TEQ (PARA)						
Job# 1		Spud Date 05/Jul/2006			MD 2156.00 m		Progress 204.00 m		Present Activity Drilling Formation						
Operator Peak Petroleum Indust. Limited			Company Rep James Blackmon/Peter Vermeulen			Contractor Dolphin Drilling Ltd		Contractor Rep Stephen Milne /Harvey Ketchion							
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore		Country/State Nigeria		Rig BULFORD DOLPHIN						
Drilling Assembly			Casing			Volumes	Pump Information								
Bit Gauge in	Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model	Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min
12 1/4	HCC		PDC			19 1/2	178.00	Total Hole	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	84	421
Drill Collars		Drill Pipe		13 3/8	12.415	1622.00	1119.5		Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	88	441
OD in	ID in	Length m	OD in	ID in	Length m		12 1/4	2156.00	Active Pits	Continental Ensco FA-1600	6 1/2	12.00	97.0	0.1194	0
9 1/2	2.800	18.26	5	4.276	1941.44				456						
8 1/2	2.800	29.09	5	3	166.87				Tot Active						
									1575.5						
									In Storage						
									907						
									Surface to Bit	5.8 min/997stks	Total System	76.7 min/13191stks			
									Bottoms Up	48.7 min/8376stks					
Mud Properties					Max Ann Velocity			Hole Information							
Property		1	2	3	4	AV Riser		59.53 ft/min	Standpipe Pressure		3150 psi	Water Depth		152.00 m	
Sample From		Reserve	Active Pit	Flow Line	Active Pit	AV Casing		163.76 ft/min	Hole Flow		863 USgal/min	Riser Booster Rate		USgal/min	
Check Time		07:00	10:30	16:40	23:00	AV Open Hole		353.55 ft/min	Solids Analysis						
MD m		1986.00	2022.00	2076.00	2156.00	Vc Open Hole		454.74 ft/min	Property	1	2	3	4		
TVD m		1950.00	1993.00	1892.00	2081.00	Vc Drill Pipe		382.08 ft/min	LGS %	6.54	5.96	6.13	6.48		
Bit Depth m		1986.00	2022.00	2076.00	2156.00	Min Ann Velocity			LGS lb/bbl	59.60	54.27	55.86	59.06		
Inc deg		36.00	37.12	42.70	49.70	AV Riser		59.53 ft/min	HGS %	6.74	6.76	6.53	6.14		
Density ppg		10.10	10.10	10.05	10.00	AV Casing		163.76 ft/min	HGS lb/bbl	99.22	99.56	96.18	90.33		
Funnel Visc. sec/quart		54.0	77.0	73.0	75.0	AV Open Hole		169.09 ft/min	Avg Dens Sol sg	3.4121	3.4508	3.4255	3.3781		
Circ BHTdegF				167.0	175.0	Bit Information									
Flow Line Temp degF			140.0	148.0	154.0	Size		12 1/4 in							
Test Temp degF		100.0	130.0	120.0	115.0	Hours On Bit									
Rheol Temp degF		120.0	120.0	120.0	120.0	Bit Number									
PV cP		24	28	30	29	BHA Number		9	Rheology						
YP lbf/100ft^2		14	32	25	25	Depth In		m	600 RPM	62	88	85	83		
10sec Gel lbf/100ft^2		5	12	12											

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
Rig BULFORD DOLPHIN							

Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	10.0		20.0	0.0	
CENTRIFUGE	2	SWACO	0.0		0.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	3.0	2 x 210	0.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	10.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	15.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 175	15.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
				Total Volume Lost	60	0	

Additions bbl				Losses bbl				Total Volumes bbl			
Mud Added		Weight Materials		Downhole		Left In Pit		Starting Volume	2399.3	Riser w/o Pipe	215.7
Brine		Water		Cased Off		Trip Losses		Daily Additions	172.8	Casing w/o Pipe	709.3
Base Fluid	163	Product	9.8	Left In Hole		Injected		Daily Losses	90	Open Hole w/o Pipe	255.4
Recycled		Other		Discharged		Spill To Environment		Ending Volume	2482.1	String Displacement	61.0
				SCE	60	Onshore Disposal		Net Change	82.8	String Capacity	119.1
				Evaporation	26	Returned				Total Hole w/ Pipe	1119.5
				Other Losses	4					Total Active	1575.5
										Total Reserve	907.0

Drilling Formation	24						
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Primary Currency USD		Secondary Currency		Totals USD	
Daily Product Cost	54026.81	Daily Product Cost	0.00	Primary Product	1390528.50
Daily Tax	0.00	Daily Tax	0.00	Secondary Product	0.00
Debit/Credit	0.00	Debit/Credit	0.00	Primary Engineering	54450.00
Daily Engineering Cost	900.00	Daily Engineering Cost		Secondary Engineering	0.00
Total Daily Cost	54926.81	Total Daily Cost	0.00	Primary Total	1444978.50
Total Inventory Value	418942.65	Total Inventory Value	0.00	Secondary Total	0.00
				Deck Load	339.49 UK ton

Product	Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Unit Price	USD	Daily Cost	USD	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl
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Bulk											
BARITE - Imported	1000 kg	204				204	540.00		0.06	0.09	
Oil Based Product											
CARBO-GEL	25 kg	160			7	153	264.28	1849.96	4.45	7.06	
MIL-LIME	25 kg	260				260	34.25		4.48	5.82	
OMNI-COTE	55 USgal	8				8	2150.00				
OMNI-MUL	55 USgal	12				12	995.06		3.01	2.40	
OMNI-PLEX	55 USgal	12			3	9	1618.95	4856.85	3.67	2.94	
OMNI-TEC	55 USgal	14				14	923.00		1.83	0.36	
PARA-TEQ	1 bbl	691			163	528	280.00	45640.00			
SA 58	50 lb						97.10				

CALCIUM CHLORIDE (97%)	50 lb	160				80	80	21.00	1680.00	10.38	7.05
CAUSTIC SODA	25 kg	17					17	37.89		0.02	0.04
POTASSIUM CHLORIDE BRINE	1 bbl	189					189	46.85		34.75	55.82
XANTHANGUM D	25 kg	36					36	345.22		0.18	0.28

CALCIUM CARBONATE - FINE	25 kg	200					200	21.68		0.01	0.01
CALCIUM CARBONATE - MED	25 kg	220					220	21.68		0.03	0.04
KWIKSEAL - MEDIUM	50 lb	39					39	70.52		0.02	0.03
MIL-PLUG FINE	50 lb	84					84	27.01			
MIL-SEAL MEDIUM	50 lb	90					90	36.00			
SOLUFLAKE F	50 lb	158					158	57.24			
SOLUFLAKE M	50 lb	80					80	57.24			

Other												
SAW DUST	25 kg	30						30	12.50			

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.